



endowment effect makes them good salesmen for the company's stocks. For a company it's worth all the expenses.

A Fund Manager's Story

A fund manager had invested heavily in a technology company. During the first quarter of 2000 the company hosted an analysts' meet. The fund manager attended it, even though he needn't. As a holder of considerable stock he could have called the company people to his office. At the meet the management apprised the analysts of difficult times ahead. After the meeting the fund manager went around convincing others about the value of the stocks. He said he had just returned from the United States and that the management did not understand the future potentiality of their own business. The tech boom was collapsing but this fund manager could not face reality. He did not intend to misguide anybody but he was so caught up in the endowment effect that he sincerely believed nothing could go wrong with the stock. When the bubble burst he could not exit as he always felt that the market was undervaluing the stock. Needless to say a lot of other fund managers and individual investors suffered a similar fate.

The endowment effect leads people to go in for instant gratification and to ignore future opportunity costs. Some people refuse to invest in public provident funds even though they benefit from the employer having to put in an equal amount. They want to enjoy the pleasure of getting the whole salary without deduction. Only, this pleasure comes at the cost of foregoing future higher benefits.

Because of the endowment effect investors get caught up in their desire to seek endorsement of their actions. Investors seek information that supports their existing point of view, while avoiding information that contradicts their opinion. Psychologist Thane Pigman in *Slip of the Tongue* sums it up well: "I see it when I believe it." Company visits and analysts meet are good examples of confirmation traps.